

MOVING AVERAGES DO NOT WORK SIDEWAYS

Moving averages do not work in a sideways market and can lead to losses if we trade based on the same. Volatility in asset prices works well for trading using moving averages. As a result, we will avoid trading using moving averages in a sideways market.

It would be difficult to identify sideways markets until we have incurred losses. So, an analyst will have to work out a system that takes into account the volatility before initiating a trade. For instance, one could check if, in the last n number of periods, the moving average has occurred more than once. Here, n number of periods refer to the period of the long term moving average. Another method is to combine with some indicator that shows volatility. There is no right or wrong answer here. An analyst needs to get creative and then back-test the assumptions that they are making. This is where it takes a lot of time and effort to create a system that works.

Now that we have learned about moving averages in detail, let us now move ahead and look at examples for different crossovers.

